WHITE PAPER · PORTFOLIO DECISIONS

Can Your Portfolio Review Explain Its Funding Decisions?

Compare the alternatives and explain the choice

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EXECUTIVE SUMMARY

Compare the alternatives, check who can act, and record the reason for the funding choice.

An accurate status report shows progress. A funding choice needs a comparison with the alternatives and someone able to act on it.

01 Check who can change the requested money and people.

02 Compare similar work on agreed criteria and make assumptions visible.

03 Record the alternatives and the reason; an unchanged allocation can be sound.

Accurate status leaves a funding question open

Picture a funding round where every project's status is accurate. The portfolio review, the meeting where leaders decide where project money and people go, approves a request. Later, someone asks why it was chosen ahead of another. Nobody can point to a comparison. A decision happened, but the review cannot show how it reached it.

An accurate status report tells leaders how a project is doing against its plan: schedule, spending, and issues. That information matters when a running project asks for more resources. It does not answer whether that request is a better use of the available money and people than its alternatives. A new proposal has no delivery status yet. Both need a comparison before the review can explain its choice.

This paper is for the executive who chairs that review and the office that prepares it. It addresses new requests and running projects asking for their next money or people. It recommends a way to make their comparison visible. The executive decides; a portfolio partner helps put the evidence beside the alternatives.

What established practice supports

The Project Management Institute's portfolio standard assigns a governing body authority over resources, investment, and priorities. Its review meetings examine status and consider whether decisions are needed. Project performance is an input used alongside other criteria.[1] The practical consequence is that accurate reporting alone cannot explain a funding choice.

The standard also groups work with similar aims, applies common criteria within those groups, and uses scoring and ranking to support selection. Its portfolio manager gathers and revises the information needed for evaluation.[1] This already goes beyond collecting status slides. I recommend making the comparison and the stated reason for the choice easy to inspect.

The UK's Association for Project Management includes the organization's ability to deliver in portfolio management and says sponsors may have to give up their own project's priority for the wider portfolio.[2] A comparison therefore needs to show the people a request would use, as well as the money it would receive. Otherwise a funding choice can conceal a staffing conflict.

Check who can act before asking for more paperwork

First establish what the review can change. Can it approve the requested money, commit the needed people, or change the priority? If those choices belong to a budget committee or another executive, name that decision maker before sponsors prepare additional material.

A review that can only recommend still has a useful job. Send the decision maker alternatives already compared, rather than separate sponsor presentations. Record the recommendation and the actual decision. If recommendations repeatedly fail because the review lacks the promised authority, the chair can bring those records to the executive who assigns it. This is a proposed use of the comparison; a page cannot grant authority.

Put comparable requests on the same basis

The next question is what the person who can decide needs to compare. For requests seeking a business benefit, PMI's criteria cover fit with strategy, financial benefit, cost, risk, and dependencies.[1] Dependencies are other work or decisions the request needs in order to succeed. Add the people needed, reflecting APM's emphasis on the ability to deliver.[2]

EXHIBIT 1

What the comparison needs

Strategy and benefit
The objective served, expected gain, and evidence for the estimate.

Cost and risk
Resources required, possible losses or harm, and what could prevent the gain.

Dependencies and people
Other work needed and the staff this request would use.

Same basis
Matching periods and benefit definitions; assumptions and estimate sources visible.

A request page is a short summary of that evidence, with links to the supporting detail. It should identify the strategic objective, the expected business benefit, the cost, the risks, the dependencies, and the people required. A page is a recommended format, not a limit on how much analysis a large decision needs. Use an existing business case if it already makes those facts easy to compare.

Compare similar requests over the same period and on the same basis for benefits. For example, do not place one proposal's annual savings beside another's savings over its entire life without making the difference visible. Name who produced each estimate and what evidence supports it. An estimate from the sponsor's own model remains an estimate; a completed field does not validate it.

PMI describes weighted scoring and ranking.[1] Use the organization's agreed model where one exists. Scores help readers compare; they do not remove the decision maker's responsibility to explain the choice. I recommend recording the reason, including any departure from the ranking. This paper supplies no formula, weights, or funding threshold.

The sponsor supplies the proposal and the office prepares the comparison

A sponsor is the executive who champions a request and answers for its success. That role makes the proposal an argument for approval. It does not make its facts false, but readers need to see whose estimates they are weighing.

PMI assigns the portfolio manager the work of revising information until it is complete enough for evaluation.[1] The role may be held by a person, group, or governing body. Where a portfolio management office, or PMO, supports the review, it can prepare the comparison with the sponsor. I propose that division of work. The standard does not assign this task to every office with that name.

The office checks that the needed evidence is present, that the periods and benefit definitions match, and that assumptions and estimate sources are visible. It also flags information that is too narrow for the request. The executive review weighs the merits. Preparing the comparison takes judgment about the evidence; it does not transfer the funding decision to the office.

A request arriving alone still has alternatives

A single request can look attractive when nothing sits beside it. Compare it with the use of money and people it would actually displace, and with keeping those resources uncommitted. If the scarce people are assigned to a high-priority project, that is the relevant alternative. Choosing a low-priority project elsewhere would hide the constraint.

This comparison is a recommendation. It names what the choice costs the portfolio without prescribing how to move resources between running projects. If the request needs only an available budget reserve, compare it with retaining that reserve and explain why committing it now is preferable. An alternative need not be a second proposal arriving at the same meeting.

Missing evidence changes the question

For an ordinary request seeking a business benefit, I recommend a hold when an essential fact is missing. Name the missing fact and set a date to bring the request back. A hold should expose the reason for waiting, rather than allow delay to become an unrecorded refusal.

Evidence that exists but covers less than the request calls for a different response. A benefit test in one office may support work there while leaving a wider rollout untested. Narrowing the request means limiting the proposed commitment to what that evidence supports. The review decides whether such a limited proposal is useful; it should not assume that a small test can be scaled simply by spending more.

The chair may still approve a request with missing evidence, for example when waiting would lose an opportunity. Record the missing evidence, the uncertainty accepted, and the reason for proceeding.

Required work and experiments need different comparisons

PMI groups work by purpose and recognizes mandatory requirements regardless of their score.[1] Do not make a legal duty compete with an optional investment on financial return. The review still needs to see the cost, the people required, and the deadline.

For work the organization cannot decline because of law, contract, or safety, compare ways to meet the duty. Identify the minimum adequate option, verified with the person responsible for the requirement. Extra capability beyond that duty needs its own investment case. Minimum adequate does not mean choosing a cheaper option that fails the requirement.

An experiment is work funded to answer an unresolved question before a larger commitment. State the question, the money and people committed to learning, and when the answer is due. Compare experiments by the usefulness of what they could resolve and what it takes to find out, rather than demand a proven business return before the experiment begins.

These are recommended applications of categorized comparison, not categories PMI requires every organization to use. The office proposes the category with the sponsor; the review confirms it. The record names that choice so an ordinary request cannot quietly escape scrutiny by calling itself an experiment. Portfolio leaders still decide how much to reserve for required work and learning.

Look for a reason rather than a count of changes

The final question is whether the stated reason addresses the alternatives. Keep the comparison presented before the decision and the reason recorded when it was made. For each request, record what it asked for, what it received, the alternatives considered, and the reason for the choice. Include changes to money, people, scope, or priority. PMI provides for communicating and documenting portfolio decisions;[1] these fields are a recommendation for making their stated basis visible. Even a record made at the meeting cannot prove the comparison drove the choice.

EXHIBIT 2

Read the reason behind the choice

1. **Authority**
   Who could change what the request received?
2. **Comparison**
   Which alternatives were considered?
3. **Choice**
   What was requested, approved, and why?

Take a recent request and ask whether the review could have changed what it received and whether its written reason compares the alternatives. A review can compare carefully and leave funding unchanged. Counting stops or changes would penalize that sensible decision and reward movement for its own sake. The record shows whether there was a reason to keep the allocation, rather than merely an absence of change.

What the recommendation costs and what it does not prove

Each cycle asks the sponsor to prepare the evidence, the supporting office to check it and assemble the alternatives, and the decision maker to state a reason. Reuse analysis already prepared and send status as advance reading when that serves the meeting. The extra effort depends on what the existing material lacks. This paper offers no measured estimate of preparation time.

The practice cited is PMI's third edition, published in 2013, and APM's public description of portfolio management. It supports the comparison process, not a measured claim that this request page improves returns. No study used here tests the proposed page, diagnostic, and exception handling together. This is a recommendation grounded in established practice.

The argument does not claim this problem is common. Its opening is hypothetical. Nor does a decision record prove a choice was wise or that the promised benefit arrived. It makes the basis for the choice inspectable. Checking benefits after delivery, deciding whether to stop a failing program, and moving resources during the year are further decisions with their own evidence needs.

Start with a recent request

Before changing the meeting, take a recent request for money or people. Establish who could have changed what it received, then find the comparison and the written reason. That will show whether the immediate gap is authority, comparable evidence, or an explanation of the choice.

At the next decision, prepare comparable evidence for the requests that come to the review. Name the actual alternative when a request arrives alone. Make missing evidence and any exception visible. After the decision, record what was requested, what was approved, and why.

The organization sets which requests need this review, the preparation expected for each size of decision, the scoring model, and the dates for returning held requests. The useful test is whether a colleague can follow the evidence from the alternatives to the choice.

Notes and sources

[1] Project Management Institute, The Standard for Portfolio Management, Third Edition (2013), sections 1.8, 1.9, 4.1.2.3, 5.2, 5.5 https://www.pmi.org/-/media/pmi/documents/public/pdf/certifications/standard-for-portfolio-management-third-edition.pdf

[2] Association for Project Management, What is portfolio management?, public Body of Knowledge page https://www.apm.org.uk/resources/what-is-project-management/what-is-portfolio-management/